

Swinging between hostility and collusion, a more imaginative relationship between government and business could bridge the gap in public investment

Takes Two TO TANGO

■ By Tarun Khanna

A crying need for India today is a revolution in the attitudes of the public and private sectors towards each other, so that they can engage in a duet, a jugalbandi of sorts. Yet, it still merits the epithet of a jugalbandi-to-be, as it has not sufficiently come to pass yet. Indeed, a realist surveying the past 60 years is likely, first, to draw succour from the reforms of the 1990s and beyond, but, second, to be moved to tears of despair at the impossibility of getting the public and private sectors to work together.

Cynicism about the role of government remains intact. Government is in disrepute largely because it has failed in one of its key roles, the provision of public goods. There are glaring deficiencies when it comes to health, education and agriculture etc. So why do politicians not adequately pursue investment in public goods? The answer has two parts to it. The first has to do with gross inefficiency—a combination of

lack of vision, misguided policies, turf battles and inadequate incentives to get the job done—which ensures that investments in public goods are not realised.

A second reason has to do with situations where the public interest runs afoul of private interests. The Indian system is largely calibrated to rule in favour of private rights at the expense of public interest.

In both cases, the Chinese experience offers a useful counterpoint. On the first, there is much less inefficiency. The bureaucrats and politicians—all members of the Communist Party—have their incentives aligned with the need to provide public assets. Local officials are rewarded for enhancing growth, and if this requires investments in public assets, then that is what they deliver. There are no such direct incentives for local Indian politicians or bureaucrats.

Further, when public interest conflicts with private rights, the Chinese solution is simple and

